

CRNC

CRNC N/A

Buy	\$10.77 ▲ 7.70%	12M Price Target \$14.00	52-Week Range \$5.85 – \$13.74	Market Cap \$487M
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CRNC: Reiterate Buy on BYD LLM Expansion, Bullish Options Flow

WHAT'S CHANGED

- CRNC +7.7% to \$10.77 on heavy volume (~2.0M shares vs. 5-day avg ~675K), a ~3x volume surge after consecutive down days from \$10.88 → \$10.00, suggesting a reversal off short-term support.
- Near-term options flow decisively bullish: P/C 0.26 with unusual July \$12 call activity (300 contracts, 2.3x OI) targeting a breakout through 52-week midpoint.

IMPLICATIONS

The BYD partnership expansion for LLM-powered in-car AI (May 7) reinforces CRNC's strategic pivot from legacy embedded licensing toward higher-value CloudCar/generative AI deployments, which is the core re-rating thesis despite the Q2 earnings miss. With shares at 62% of 52-week range and institutions holding 81.5%, today's volume-backed bounce suggests positioning into the next OEM design-win catalyst. The competitive narrative vs. SOUN (multiple Zacks comp articles) is increasingly framing CRNC as the deep-value auto-pure-play, which supports multiple expansion if FY27 bookings inflect.

VALUATION

At \$487M market cap on ~\$236M FY26E revenue, CRNC trades at ~2.1x EV/Sales — a steep discount to SOUN (>15x) and other voice-AI peers, reflecting auto-cycle exposure and execution risk post-Q2 miss. Base case \$14 PT (~30% upside) assumes re-rating to ~2.7x FY27E sales as CloudCar/LLM revenue mix climbs and adj. EBITDA margins approach mid-teens. Multiple expansion hinges on demonstrating sustained royalty-per-vehicle uplift from generative-AI SKUs.

KEY RISKS

- Global auto SAAR softness and OEM software budget compression delaying CloudCar ramp
- Competitive displacement by hyperscaler in-car assistants (Google Automotive, Amazon Alexa Auto) or SOUN's Chat AI Automotive
- Convertible note refinancing overhang (2028 maturity) limiting balance-sheet flexibility if FCF stays negative

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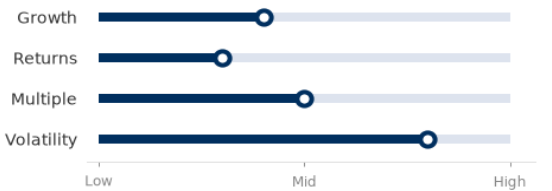
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Key Data

Price (USD)	\$10.77
12M Price Target	\$14.00
Upside / (Downside)	+30.0%
Market Cap	\$487M
FY2026E Revenue	\$236M
FY2027E Revenue	\$252M
FY2026E EPS	(\$0.45)
FY2027E EPS	(\$0.15)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$12.50	\$11.25	\$9.50
6 Months	\$15.00	\$12.50	\$8.50
1 Year	\$18.00	\$14.00	\$7.50
2 Years	\$24.00	\$17.00	\$6.50
5 Years	\$35.00	\$22.00	\$5.00
10 Years	\$55.00	\$30.00	\$4.00

SECTOR INTELLIGENCE

HOT SECTORS: AI Software, Automotive Tech

COLD SECTORS: Legacy Auto Suppliers, Consumer Hardware

ROTATION WATCH: Capital rotating from richly-valued AI mega-caps toward smaller AI-exposed names with tangible enterprise contracts; CRNC fits the "GARP AI" bucket if execution stabilizes.

BYPRODUCT PLAY: Edge-AI inference and automotive SoC suppliers (QCOM, NXPI) benefit from the same in-car generative-AI buildout driving CRNC's CloudCar opportunity.

OUTPERFORMERS & PEER CONTEXT

- SOUN (SoundHound AI): Trading at >15x forward sales on enterprise/restaurant voice-AI pipeline growth, materially outpacing CRNC's multiple despite smaller revenue base.
- QCOM (Qualcomm): Snapdragon Digital Chassis design wins compounding, providing the silicon layer for the same in-car AI workloads CRNC monetizes.

CRNC CONTEXT: CRNC is lagging voice-AI peers on multiple but today's volume-backed bounce and bullish options skew suggest the relative-value gap is starting to attract tactical accumulation — peer-group catch-up trade emerging.

INVESTMENT STRATEGY

6/10 Conviction Score

Position Size: 1-2% of portfolio

Entry Points: \$9.50-10.25 on pullbacks

Time Horizon: 12-18 months

Thesis Invalidation: Loss of top-3 OEM contract or FY27 revenue guide <\$240M

Hedging: Pair short SOUN on relative voice-AI multiple compression